NEW JERSEY REALTORS® STANDARD FORM OF BROKER-SALESPERSON INDEPENDENT CONTRACTOR AGREEMENT

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THIS AGREEMENT, is made and entered into this _____ day of _____, _____, by and between RAMZI JALOUDI, J AGENCY CONSULTING LLC- DBA REAPEX (hereinafter referred to as the "Broker"), having its principal office at 260 COLUMBIA AVE. STE 20, FORT LEE, NJ 07024, _____, and _____ (hereinafter referred to as the "Salesperson"), residing at _____

WITNESSETH:

WHEREAS, Broker is engaged in business as a real estate broker trading as REAPEX, with its principal office at 260 COLUMBIA AVE. STE 20, FORT LEE, NJ 07024, and as such is duly licensed to engage in activities including, but not limited to, selling, offering for sale, buying, offering to buy, listing and soliciting prospective purchasers, and negotiating loans on real estate, leasing or offering to lease, and negotiating the sale, purchase or exchange of leases, renting or placing for rent, or managing real estate or improvements thereon for another or others; and

WHEREAS, Broker has and does enjoy the goodwill of the public, and has a reputation for fair and honorable dealing with the public; and

WHEREAS, Broker maintains an office in the State of New Jersey equipped with furnishings, listings, prospect lists and other equipment necessary, helpful, and incidental to serving the public as a real estate broker; and

WHEREAS, Salesperson is duly licensed by the State of New Jersey as a real estate salesperson; and

WHEREAS, it is deemed to be to the mutual advantage of Broker and Salesperson to enter into this Agreement; and

WHEREAS, Salesperson acknowledges that he has not performed any acts on behalf of Broker nor has he been authorized to act on behalf of Broker; and

WHEREAS, the parties acknowledge that they deem it desirable to enter into an agreement in compliance with the provisions of N.J.A.C. 11:5-4.1;

NOW, THEREFORE, in consideration of the foregoing premises and the mutual covenants herein contained, it is mutually covenanted and agreed by and between the parties hereto as follows:

1. **SERVICES**. Salesperson agrees to proceed diligently, faithfully, legally, and with his best efforts to sell, lease, or rent any and all real estate listed with Broker, except for any listings which are placed by Broker exclusively with another salesperson(s), and to solicit additional listings and customers for Broker, and otherwise to promote the business of serving the public in real estate transactions, and for the mutual benefit of the parties hereto.

2. **OFFICE SPACE**. Broker agrees to provide Salesperson with work space and other facilities at its office presently maintained at _____ 260 COLUMBIA AVE. STE 20, FORT LEE, NJ 07024, or at such other location as determined by Broker at which Broker may maintain an office. The items furnished pursuant to this Paragraph 2 shall be for the convenience of the Salesperson.

3. **RULES AND REGULATIONS**. Salesperson and Broker agree to conduct business and regulate habits and working hours in a manner which will maintain and increase the goodwill, business, profits, and reputation of Broker and Salesperson, and the parties agree to conform to and abide by all laws, rules and regulations, and codes of ethics that are binding on, or applicable to, real estate broker and real estate salespeople. Salesperson and Broker shall be governed by the Code of Ethics of the NATIONAL ASSOCIATION OF REALTORS®, the real estate laws of the State of New Jersey, the Constitution and By-Laws of the GREATER BERGEN Board/Association of Realtors®, the rules and regulations of any Multiple Listing Service with which Broker now or in the future may be affiliated with, and any further modifications or additions to any of the foregoing. Salesperson acknowledges that it is his responsibility to familiarize himself with all current Code of Ethics, the Local Board/Association By-Laws, the rules and regulations of any Multiple Listing Service with which Broker is now affiliated, the Rules and Regulations of the Real Estate Commission and the License Law of the State of New Jersey. Broker agrees to maintain copies of all the foregoing and to make the same available to Salesperson. Salesperson agrees also to abide by the rules, regulations, policies and standards promulgated by Broker.

The J Agency, 260 Columbia Ave Suite 3 Fort Lee NJ 07024 Phone: (201)233-1373 Fax: ICA
Ramzi Jaloudi

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4. **LICENSING AND ASSOCIATION MEMBERSHIP**. Salesperson represents that he is duly licensed by the State of New Jersey as a real estate salesperson. Salesperson acknowledges that Broker is a member of the GREATER BERGEN _____ Board/Association of Realtors®, the New Jersey Association of REALTORS® and the NATIONAL ASSOCIATION OF REALTORS®, and as a result thereof, Broker is subject to the rules and regulations of those organizations. Salesperson agrees to be subject to and act in accordance with said rules and regulations. If Broker requires Salesperson to become a member of any real estate organization, then Salesperson agrees that he shall become a member thereof and shall pay all applicable fees and dues required to maintain said membership. As a result of Broker being a member of the aforesaid groups, Broker and Salesperson agree to abide by all applicable rules, regulations and standards of such organizations, including, but without limitation, those pertaining to ethics, conduct and procedure.

5. **COMPENSATION**. Salesperson's sole compensation from Broker shall be in the form of commissions. The commissions for services rendered in the sale, rental, or leasing of any real estate and the method of payment, shall be determined exclusively by Broker. Commissions, when earned and collected by Broker, shall be divided between Broker and Salesperson after deduction of all expenses and co-brokerage commissions in accord with the Salesperson's Commission Schedule attached to this Agreement as Schedule A which is an outline of compensation to be paid by Broker to Salesperson during the Salesperson's affiliation with Broker.

6. **MULTIPLE SALESPEOPLE**. In the event that two (2) or more salespeople under contract with Broker participate in a sale and claim a commission thereon, then and in that event the amount of commissions allocable to each salesperson shall be divided in accordance with a written agreement among said salespeople. In the event that the salespeople shall be unable to agree, the dispute shall be submitted to and determined by Broker, in his sole discretion.

7. **RESPONSIBILITY OF BROKER FOR COMMISSIONS**. In no event shall Broker be liable to Salesperson for any commissions not collected, nor shall Salesperson be personally liable for any commissions not collected. It is agreed that commissions collected shall be deposited with the Broker and subsequently divided and distributed in accordance with the terms of this Agreement.

8. **DIVISION AND DISTRIBUTION OF COMMISSIONS**. The division and distribution of the earned commissions as provided for in this Agreement which may be paid to or collected by the Broker, but from which Salesperson is due certain commissions, shall take place as soon as practicable after collection and receipt of such commissions, but in no event more than ten (10) business days after receipt by the Broker, or as soon thereafter as such funds have cleared the Broker's bank.

9. **RESPONSIBILITY FOR EXPENSES**. Unless otherwise agreed in writing, Broker shall not be liable to Salesperson for any expenses incurred by Salesperson or for any of his acts, nor shall Salesperson be liable to Broker for Broker's office help or expenses, or for any of Broker's acts other than as specifically provided for herein.

10. **ADVANCES**. Broker may from time to time and in his sole discretion make advances to Salesperson on account of future commissions; it being expressly agreed, however, that such advances are temporary loans by Broker for the accommodation of Salesperson which are due and payable on demand or as otherwise agreed to by the Broker, and are not compensation. Upon notice to Salesperson, Broker shall have the right to charge interest on any and all advances made to Salesperson, either at the time of making the advance or thereafter, at a rate chosen by Broker in his sole discretion, but not in excess of the maximum rate permitted by law. Upon receipt of payment of commissions, Broker shall credit the account of Salesperson (first toward interest, if any, and then toward principal) with the portion of such commissions due Salesperson. If at any time, the advances made to Salesperson together with interest thereon, if any, exceed the credits to his account for his share of commissions collected, then such excess shall be owing by Salesperson to Broker and shall be due and payable upon demand. After such demand, interest at the maximum rate permitted by law shall accrue upon the amount due Broker, notwithstanding the fact that any or all of the advances made to Salesperson have initially been interest free or at a reduced rate of interest.

11. **REAL ESTATE LICENSES, BONDS, DUES AND FEES**. Salesperson agrees to pay the cost of maintaining his real estate license, dues for membership in the NATIONAL ASSOCIATION OF REALTORS®, the New Jersey Association of REALTORS®, the local Board/Association of REALTORS® and other dues and fees related to the rendering of services by Salesperson as a real estate salesperson.

12. **AUTHORITY TO CONTRAC**T. Salesperson shall have no authority to bind, obligate, or commit Broker by any promise or representation, either verbally or in writing, unless specifically authorized in writing by Broker in a particular transaction. However, Salesperson shall be and is hereby authorized to execute listing agreements for and on behalf of Broker as his agent subject to Broker's office policy.

13. **CONTROVERSIES WITH OTHERS**. In the event any transaction in which Salesperson is involved results in a dispute, litigation or legal expense, Salesperson shall cooperate fully with Broker. Broker and Salesperson shall share the payment of all judgments, awards, settlement and other expenses connected therewith, in the same proportion as they normally would share the commission result ing from such transaction if there were no dispute or litigation. It is the policy to avoid litigation wherever possible, and Broker, within

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his sole discretion may determine whether or not any litigation or dispute shall be prosecuted, defended, compromised or settled, and the terms and conditions of any compromise or settlement, or whether or not legal expense shall be incurred. Salesperson shall not have the right to directly or indirectly compel Broker to institute or prosecute litigation against any third party for collection of commissions, nor shall Salesperson have any cause of action against Broker for its failure to do so. In the event a commission is paid to Broker in which Salesperson is entitled to share, but another real estate broker disputes or may dispute the right of Broker to receive all or any portion of such commission, Salesperson agrees that Broker may hold said commission in trust until such dispute is resolved or sufficient time has passed to indicate to Broker in his sole and absolute judgment that no action or proceeding will be commenced by such other real estate broker regarding the subject commission. In the event Broker shall pay any commission to Salesperson and thereafter, either during or subsequent to termination of this Agreement, Broker shall become obligated, either by way of final judicial determination, arbitration award or good faith negotiation, to repay all or any part of such commission to others, Salesperson agrees to reimburse Broker his pro rata share thereof. In any such instance, Broker agrees to keep Salesperson reasonably informed of any proceeding.

14. **OWNERSHIP OF LISTINGS**. Salesperson agrees that any and all listings of property, and all actions taken in connection with the real estate business and in accordance with the terms of this Agreement shall be taken by Salesperson in the name of Broker. In the event Salesperson receives a listing, it shall be filed with Broker no later than twenty four (24) hours after receipt of same by Salesperson. Broker agrees, but is not obligated, to generally make available to Salesperson all current listings maintained by its office. However, all listings shall be and remain the separate and exclusive property of Broker unless otherwise agreed to in writing by the parties hereto.

15. **DOCUMENTS**. Broker and Salesperson agree that all documents generated by and relating to services performed by either of them in accordance with this Agreement, including, but without limitation, all correspondence received, copies of all correspondence written, plats, listing information, memoranda, files, photographs, reports, legal opinions, accounting information, any and all other instruments, documents or information of any nature whatsoever concerning transactions handled by Broker or by Salesperson or jointly are and shall remain the exclusive property of the Broker.

16. **COMMUNICATIONS**. Broker shall determine and approve all correspondence from the Broker's office pertaining to transactions being handled, in whole or in part, by the Salesperson.

17. **FORMS AND CONTRACTS**. Broker shall determine and approve the forms to be used and the contents of all completed contracts and other completed forms before they are presented to third parties for signature.

18. **INDEPENDENT CONTRACTOR**. This Agreement does not constitute employment of Salesperson by Broker and Broker and Salesperson acknowledge that Salesperson's duties under this Agreement shall be performed by him in his capacity as an independent contractor. Nothing contained in this Agreement shall constitute Broker and Salesperson as joint ventures or partners and neither shall be liable for any obligation incurred by the other party to this Agreement, except as provided herein. The Salesperson shall not be treated as an employee for Federal, State or local tax purposes with respect to services performed in accordance with the terms of this Agreement. Effective as of the date of this Agreement, Broker will not (i) withhold any Federal, State, or local income or FICA taxes from Salesperson's commissions; (ii) pay any FICA or Federal and State unemployment insurance on Salesperson's behalf; or (iii) include Salesperson in any of its retirement, pension, or profit sharing plans. Salesperson shall be required to pay all Federal, State, and local income and self-employment taxes on his income, as required by law, and to file all applicable estimated and final returns and forms in connection therewith.

19. **NOTICE OF TERMINATION**. This Agreement, and the relationship created hereby may be terminated by either party hereto with or without cause, at anytime upon three (3) days written notice. However, this Agreement shall immediately terminate upon Sales person's death. Except as otherwise provided for herein, the rights of the parties hereto to any commissions which were accrued and earned prior to the termination of this Agreement shall not be divested by the termination of this Agreement.

20. **SERVICES TO BE PERFORMED SUBSEQUENT TO TERMINATION**. Upon termination of this Agreement, all negotiations commenced by Salesperson during the term of this Agreement shall continue to be handled through Broker and with such assistance by Salesperson as is determined by Broker. The Salesperson agrees to be compensated for such services in accordance with Schedule B at tached hereto.

21. **LIST OF PROSPECTS**. Upon termination of this Agreement. Salesperson shall furnish Broker with a complete list of all prospects, leads and foreseeable transactions developed by Salesperson, or upon which Salesperson shall have been engaged with respect to any transaction completed subsequent to termination of this Agreement in which Salesperson has rendered assistance in accordance with the terms of this Agreement. Except as expressly provided for in Paragraph 20 of this Agreement, Salesperson shall not be compensated in respect of any transaction completed subsequent to termination of this agreement unless agreed to in writing by the Broker.

22. **DUTY OF NON-DISCLOSURE**. Salesperson agrees that upon termination of this Agreement, he will not furnish to any person, firm, company, corporation, partnership, joint venture, or any other entity engaged in the real estate business, any information as to Broker or its business, including, but not limited to, Broker's clients, customers, properties, prices,

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terms of negotiations, nor policies or relationships with prospects, clients and customers. Salesperson, shall not, after termination of this Agreement, remove from the files or from the office of the Broker, any information pertaining to the Broker's business, including, but not limited to, any maps, books, publications, card records, investor or prospect lists, or any other material, files or data, and it is expressly agreed that the aforementioned records and information are the property of Broker.

23. **COMPENSATION SUBSEQUENT TO TERMINATION**. Upon termination of this Agreement, Salesperson shall be compensated only in accordance with the appended Schedule B.

24. **ESCROW DEPOSIT**. All contracts of sale shall be accompanied by an escrow deposit in an amount as determined by Broker. Salesperson will, at all times, require purchaser or prospective purchasers, to put up such escrow deposit unless a higher or lower sum shall be mutually agreed to by Broker and Salesperson. Salesperson is expressly prohibited from accepting a smaller escrow deposit, a post-dated check, or agreeing not to deposit an escrow check, unless such action has been expressly authorized by Broker.

25. **AUTOMOBILE**. Salesperson agrees to furnish his own automobile, pay all expenses in connection with the operation and maintenance of said automobile, and that Broker shall have no responsibility therefore. Salesperson agrees to carry throughout the terms of this Agreement public liability insurance upon his automobile with minimum limits not less than **TWO HUNDRED FIFTY THOUSAND** ($ **250,000.00**) for each person and **FIVE HUNDRED THOUSAND** ($ **500,000.00**) for each accident, and property damage insurance with a minimum limit of not less than **FIFTY THOUSAND** ($ **50,000.00**). Upon request, Salesperson agrees to furnish to Broker certificates certifying as to such insurance prepared by the insurance company.

26. **ASSIGNABILITY AND BINDING EFFECT**. This Agreement is personal to the parties hereto and may not be assigned, sold or otherwise conveyed by either of them.

27. **NOTICE**. Any and all notices, or any other communication provided for herein shall be in writing and shall be personally delivered or mailed by registered or certified mail, return receipt requested prepaid postage, which shall be addressed to the parties at the addresses indicated herein, or to such different address as such party may have fixed. Any such notice shall be effective upon receipt, if personally delivered, or three (3) business days after mailing.

28. **GOVERNING LAW**. This Agreement shall be subject to and governed by the laws of the State of New Jersey, including the conflicts of laws, irrespective of the fact that Salesperson may be or become a resident of a different state.

29. **WAIVER OF BREACH**. The waiver by the Broker of a breach of any provision of this Agreement by the Salesperson shall not operate or be construed as a waiver of any subsequent breach by the Salesperson.

30. **ENTIRE AGREEMENT**. This Agreement constitutes the entire agreement between the parties and contains all of the agreement between the parties with respect to the subject matter hereof; this Agreement supersedes any and all other agreements, either oral or in writing between the parties hereto with respect to the subject matter hereof.

31. **GENDER**. When used in this Agreement, the masculine shall be deemed to include the feminine.

32. **SEPARABILITY**. If any provision of this Agreement is invalid or unenforceable in any jurisdiction, the other provisions herein shall remain in full force and effect such jurisdiction and shall be liberally construed in order to effectuate the purpose and intent of this Agreement, and the invalidity or unenforceability of any provision of this Agreement in any jurisdiction shall not affect the durability or enforceability of any such provision in any other jurisdiction.

33. **MODIFICATION**. This Agreement may not be modified or amended except by an instrument in writing signed by the parties hereto. Any modification to this Agreement between the parties after the date of the Agreement shall be of no effect unless such modification is in writing and is signed by both Broker and Salesperson.

34. **PARAGRAPH HEADINGS**. The paragraph headings contained in this Agreement are for reference purposes only and shall not affect in any way the meaning or interpretation of this Agreement.

35. **SURVIVAL OF PROVISIONS**. The provisions of this Agreement shall survive the termination of the Salesperson's services under this Agreement.

36. **COPY RECEIVED**. Salesperson acknowledges receipt of a fully executed copy of this Agreement, duly signed by Broker and Salesperson.

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IN WITNESS WHEREOF, the undersigned have set their hands and seals, or if a corporation, has caused this Agreement to be signed and sealed by its duly authorized corporate officer, the day and year first above written.

WITNESS:

_____ _____

(Broker)

WITNESS:

_____ _____

(Salesperson)

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SCHEDULE A
REAPEX COMMISSION ADDENDUM
SALESPERSON'S COMMISSION SCHEDULE WHILE AFFILIATED WITH BROKER

This Addendum is attached to and forms a part of the Broker-Salesperson Independent Contractor Agreement. In the event of any conflict or inconsistency between the terms of this Addendum and the terms of the main Agreement, the terms of this Addendum (Schedule A) shall prevail and govern. This addendum replaces any and all pre-existing commission schedules. The Salesperson's compensation shall be governed by the plan selected below, in accordance with Section 5 of the main Independent Contractor Agreement. Salesperson shall be entitled to receive the following percentage as their portion of the commission earned by Broker as a result of closed sales, listings, rentals, leases, after deducting all expenses and co-brokerage commissions:

1: Plan Selection
The Salesperson must select one of the following commission plans upon signing this Agreement. This plan will remain in effect for a period of twelve (12) months, renewing on the Agent's anniversary date. A plan may be changed once per year on the anniversary date with written notice. Any pending transactions prior to the effective date of a plan change shall be settled and paid according to the Commission Plan in effect at the time the contract was executed, regardless of when the transaction closes.

2: Commission Plans (initial one)

_____ A. The "Launch Plan"
- **Commission Split:** 80% to the Salesperson, 20% to the Broker.
- **Annual Cap:** The Salesperson's contribution to the Brokerage commission split is capped at $22,500 per anniversary year. Upon reaching this cap, the Salesperson's split will automatically convert to 100% for the remainder of that anniversary year.
- **Monthly Fee:** $0.

_____ B. The "Growth Plan"
- **Commission Split:** 90% to the Salesperson, 10% to the Broker.
- **Annual Cap:** The Salesperson's contribution to the Brokerage commission split is capped at $19,500 per anniversary year. Upon reaching this cap, the Salesperson's split will automatically convert to 100% for the remainder of that anniversary year.
- **Monthly Fee:** $225, payable on the first of each month.

_____ C. The "Pro Plan"
- **Commission Split:** 100% to the Salesperson.
- **Annual Cap:** Not applicable.
- **Monthly Fee:** $550, payable on the first of each month.
- **Pro Plan Enterprise Tier:** A Gross Commission Income (GCI) threshold of Five Hundred Thousand Dollars ($500,000.00) is established for the Salesperson within each of their anniversary years. For all GCI earned by the Salesperson up to this threshold, the commission split shall remain 100% to the Salesperson. For any and all GCI earned by the Salesperson in excess of this threshold, the commission split shall be modified for the remainder of the anniversary year to be 95% to the Salesperson and 5% to the Broker. For any Salesperson designated as a Team Leader (as defined in Section 4.1), the GCI threshold for this Enterprise Tier shall be calculated based *only* on the Team Leader's personal production (GCI from transactions where the Team Leader is the primary agent of record) and shall exclude any and all GCI generated by their Team Members.

_____ D. The "Team Member Plan"
- This plan is mandatory for any Salesperson joining as a Team Member.
- This selection supersedes all plans listed above (A, B, and C).
- The full terms, conditions, and commission structure for this plan are detailed in Section 4 of this Schedule A and in the "Schedule C, Team Standing Payment Authorization."

3: Teams
3.1. Definitions
- **A. Team Leader:** A Salesperson who is the recognized head of a real estate team. The Team Leader must be on the "Pro Plan" and is responsible for the supervision, training, and costs associated with their team members.

- **B. Team Member:** A Salesperson who operates under the direct supervision and brand of a Team Leader.

3.2. Team Member Commission Structure

The commission structure for a Team Member supersedes their individually selected plan for any transaction conducted as part of the team.

- **A. Brokerage Service Fee:** For each transaction completed by a Team Member, the Brokerage shall receive a 8% Service Fee calculated from the Gross Commission Income (GCI) of the transaction.
- **B. Fee Cap:** This Brokerage Service Fee is capped at a maximum of One Thousand Five Hundred Dollars ($1,500.00) per transaction.
- **C. Calculation:** The Brokerage Service Fee is deducted "off the top" from the GCI before any commission split is calculated between the Team Leader and the Team Member.

Example: A Team Member closes a transaction with a GCI of $22,000.

1. Total GCI: $22,000.
2. Reapex Brokerage Service Fee (8% of GCI): $1,760.
3. Since the fee exceeds the cap, the Brokerage retains $1,500.
4. Remaining Commission to be split between Team Leader and Team Member: $20,500.

3.3. Team Leader Responsibilities & Disbursement

A. Standing Payment Authorization: Upon the formation of a Team (or the addition of a new Team Member), the Team Leader and Team Member must execute and submit the "Team Standing Payment Authorization" (Schedule C). This document serves as the standing instruction for the Brokerage to calculate and disburse commissions.

B. Direct Disbursement: In accordance with N.J.A.C. 11:5-4.4 and NJ REC Bulletin 22-07, the Brokerage shall disburse commissions directly to the Team Member and Team Leader separately, strictly adhering to the splits defined in the active Schedule C on file. The Brokerage will continue to use the Schedule C percentages for all transactions unless a new Authorization form is submitted and approved prior to a closing.

C. Prohibition on Direct Compensation: The Team Leader is strictly prohibited from paying commissions, splits, or transaction-based compensation directly to any Team Member. All compensation must flow through the Brokerage.

D. Operational Responsibilities: The Team Leader remains solely responsible for all lead generation, marketing costs, and training for their team. The Team Leader agrees to indemnify and hold the Brokerage harmless from any disputes arising from the internal allocation of splits defined in their Schedule C. All transaction documents, including but not limited to agency agreements, purchase contracts, and MLS entries, must accurately reflect the Salesperson who holds the primary fiduciary relationship with the client(s). The intentional misrepresentation of the agent of record for the purpose of circumventing or altering brokerage fee structures is a material breach of the Agreement and may result in its immediate termination at the Brokerage's sole discretion.

3.4. Team Branding

All team marketing and branding must be co-branded with "Reapex" and must adhere to the Brokerage's official brand standards and all applicable real estate advertising regulations. In accordance with N.J.A.C. 11:5-6.1, the Reapex Brokerage name must appear in larger print or be displayed more prominently than the Team Name in all advertising.

4: Referral Commission

4.1. Outbound Referrals (By Active Agents)

When an Active Agent refers a client to an outside brokerage, the referring agent shall receive 90% of the referral fee collected by the Broker.

4.2. Internal Referrals (From Referral Agents)

When a Referral Agent refers a client to an Active Agent at Reapex, the Referral Agent shall receive a referral commission equal to 25% of the Active Agent's Gross Commission, calculated after the Active Agent's commission split with the Broker.

4.3. Inbound Referrals (From Outside Brokerages)

Inbound referral leads are considered Brokerage-generated leads and will be offered to agents participating in the "Reapex Accelerator Plan" subject to the terms and commission splits of that program.

5: The Reapex Accelerator Plan

5.1. Program Overview

The Accelerator Plan is a direct partnership between the Brokerage and the Salesperson. The Brokerage invests in marketing to generate leads, and the Salesperson invests their time and skill to convert these leads. The following outlines the standards that govern this partnership.

5.2. Eligibility

To participate in the Program, a Salesperson must be an "Active Agent" in good standing and be fully certified on the Brokerage's CRM. Enrollment is limited and managed by the Brokerage to ensure adequate lead flow for all participants.

5.3. Accelerator Plan Commission Structure

- For any transaction that closes as a result of a lead provided through the Program, the commission split shall be 50% to the Salesperson and 50% to the Broker.

- This 50/50 split applies only to Brokerage-generated leads. All agent-sourced business will remain on the Salesperson's primary commission plan as defined above.
- Commissions paid to the Brokerage under this Program do not contribute to the Salesperson's annual cap.

5.4. Lead Routing & Acceptance

Leads are distributed via a "First-to-Claim" system within the Brokerage CRM. The first agent to claim a new lead via the system notification is assigned the lead and is expected to adhere to the follow-up standards below.

5.5. Minimum Follow-Up Standards (Service Level Agreement - SLA)

Strict adherence to these minimum standards is required to protect the Brokerage's marketing investment. All activity must be logged in the CRM.

- A. Speed to Lead: The first contact attempt must be made within 5 minutes of claiming a new lead.
- B. First 7-Day Contact Cadence: A minimum of nine (9) contact attempts must be made across multiple channels (call, text, email) within the first seven (7) days, following the cadence outlined in the Brokerage's training materials.

5.6. Lead Reassignment & Program Standing

- Lead Forfeiture: Failure to adhere to the SLA, particularly the "Speed to Lead" requirement, will result in the lead being immediately pulled back into the distribution pool.
- Program Suspension: A Salesperson who forfeits three (3) leads due to non-compliance with the SLA will be suspended from the Accelerator Plan for a period of 30 days. Further non-compliance may result in permanent removal from the Program.

5.7. Agent Acknowledgement

By signing below, I acknowledge that I have read, understood, and agree to be bound by all the terms and expectations outlined in this Addendum. I understand that my participation is contingent upon my strict adherence to these standards.

6: Minimum Production Standards & Active Status

6.1. Active Agent Status

To maintain "Active Agent" status with the Brokerage, the Salesperson is required to successfully close a minimum of one (1) bona fide sales or lease transaction within each twelve (12) month period, commencing on their anniversary date of signing this Agreement ("Anniversary Date").

6.2. Failure to Meet Standards

Failure to meet the Minimum Production Standard will result in an automatic transition of the Salesperson's status from "Active Agent" to "Referral Agent."

6.3. Referral Agent Status

A "Referral Agent" is a licensee affiliated with the Brokerage for the sole purpose of referring clients. Referral Agents may not actively engage in real estate brokerage activities. To maintain this status, the Salesperson agrees to pay an annual administrative fee of $550, due on their Anniversary Date, and will be removed from the Brokerage's full technology stack.

6.4. Reinstatement to Active Status

A Salesperson may be reinstated to "Active Agent" status at the sole discretion of the Broker, upon the submission and approval of a formal business plan.

7: Payment of Brokerage Fees

The Salesperson agrees to maintain a valid credit or debit card on file with the Brokerage for the payment of all recurring fees. Fees are due on the first day of each month or anniversary year, as applicable, and will be charged automatically. Failure to remit payment within ten (10) calendar days of the due date will result in the immediate suspension of access to Brokerage technology and systems.

8: Errors & Omissions (E&O) Insurance

The Broker shall maintain a master E&O insurance policy covering the Salesperson for licensed activities performed on behalf of the Brokerage. In the event a claim arises from the Salesperson's actions, the Salesperson shall be solely responsible for the payment of the insurance policy's deductible amount per claim.

9: Use of Brokerage Technology & Systems

The Brokerage provides access to third-party software (CRM, Transaction Management, etc.) for the sole and exclusive purpose of conducting real estate activities on behalf of the Brokerage. The Salesperson agrees not to share their login credentials, and understands that access is contingent upon their active status and good standing.

10: Client Data & CRM Offboarding Policy

The Salesperson acknowledges that the Brokerage's CRM account is the property of the Broker. However, the Brokerage recognizes the Salesperson's ownership of client relationships they personally developed ("Agent-Sourced Data"). Upon termination in good standing, the Brokerage will provide the Salesperson with a full data export of their "Agent-Sourced

Data." The Salesperson will not be entitled to an export of any leads generated by the Brokerage ("Brokerage-Sourced Data").

11: Advertising, Branding, and Social Media
The Salesperson agrees that all advertising shall be conducted in strict compliance with all applicable laws and regulations. All materials must clearly and conspicuously feature the Brokerage's official name and branding. The Broker reserves the right to review and demand modification of any material deemed unprofessional, non-compliant, or damaging to the Brokerage's brand.

_____
(Salesperson)

_____
(Date)

_____
(Broker)

SCHEDULE B
SALESPERSON'S COMMISSION SCHEDULE AFTER TERMINATION OF AFFILIATION WITH BROKER

This Addendum is attached to and forms a part of the Broker-Salesperson Independent Contractor Agreement ("Agreement") and the Reapex Commission Addendum ("Schedule A"). It specifically governs all commissions paid to the Salesperson for transactions that close after the Salesperson's termination date ("Termination Date").
This Schedule B applies only to Salespersons who terminate their Agreement "In Good Standing."

1. Definition: "In Good Standing"
A Salesperson is deemed to terminate "In Good Standing" only if they have, as of their Termination Date:

- Paid all outstanding fees, monthly charges, advances, or other monies owed to the Brokerage.
- Fully complied with the Brokerage's CRM Offboarding Policy and all other offboarding procedures.
- Cooperatively transitioned all active files, client communications, and pending transactions to the Broker or a Broker-designated agent.
- Returned all Brokerage property, including but not limited to physical keys, signage, and marketing materials.

Salespersons who fail to meet these conditions, as determined by the Broker in its sole discretion, shall forfeit any and all rights to compensation for pending transactions and future commissions.

2. Transactions "Under Contract" (Sales or Leases)
This section applies to any bona fide sales or lease transaction where a contract was fully executed by all parties prior to the Salesperson's Termination Date, but closes after the Termination Date.

- A. Commission Calculation: The Salesperson's commission shall first be calculated according to their selected plan in Schedule A (e.g., Launch, Growth, Pro, Team, or Accelerator).
- B. Brokerage Service Fee: To compensate the Brokerage for the administrative, compliance, and managerial work required to bring the file to closing without the Salesperson's active management, a Brokerage Service Fee equal to 25% of the *Salesperson's net commission* (calculated after the split) will be deducted by the Brokerage.
- C. Payment: The final net commission will be paid to the Salesperson within ten (10) business days of the funds clearing the Broker's account.

Example: A "Launch Plan" agent (80/20 split) has a deal with $10,000 GCI that closes after termination.

1. GCI: $10,000
2. Agent's 80% Gross Split: $8,000
3. Brokerage Service Fee (25% of the Agent's $8,000 split): $2,000
4. Final Payout to Agent: $6,000

3. Active Listings (Not Under Contract)
All listings are the exclusive property of the Broker.

- If, at the time of termination, the Salesperson has an active listing that is not under contract, and the Salesperson successfully facilitates the transfer of the listing to another Reapex agent (or the Broker), the departing Salesperson shall be entitled to a Referral Fee of 25% of the listing side GCI.
- This Referral Fee is payable only upon the successful closing of a sale by the new Reapex agent. The departing Salesperson shall have no further duties or rights related to the listing.
- If the seller terminates the listing agreement, no compensation is due.

4. Outbound Referrals
For any outbound referral fee collected by the Brokerage after the Termination Date, which was for a referral placed by the Salesperson prior to the Termination Date:

- The Salesperson shall be paid their portion of the referral fee as defined in Schedule A, Section 5.1 (i.e., 90% of the collected fee). No Brokerage Service Fee (from Section 2.C above) will apply to outbound referral payouts.

5. Final Acknowledgment
By signing the Agreement and its addendums, the Salesperson acknowledges and agrees that all compensation is contingent upon their full compliance with the terms of the Agreement, Schedule A, and this Schedule B, including the requirement to terminate "In Good Standing."

_____
(Salesperson)

_____
(Date)

_____
(Broker)

SCHEDULE C
TEAM STANDING PAYMENT AUTHORIZATION & INDEMNIFICATION

1. PARTIES & PURPOSE This Standing Authorization is entered into by the undersigned Team Leader and Team Member to instruct **Reapex** ("Brokerage") on the disbursement of commissions. This document shall remain in full force until a new Schedule C is submitted and approved. This document is entered into by and between the undersigned Team Leader, the undersigned Team Member, and Reapex ("Brokerage"). This Certification is required by the Brokerage as a condition of the Team Member's association with the Brokerage under the supervision of the Team Leader.

- **Team Leader:** _____ (Printed Name)
- **Team Member:** _____ (Printed Name)

2. STANDING COMMISSION SPLIT INSTRUCTION Pursuant to N.J.A.C. 11:5-4.4, the Brokerage is hereby instructed to disburse all Net Commissions earned by the **Team Member** as follows:

FIXED PERCENTAGE SPLIT

- **Team Member Retention:** _____% of Net Commission
- **Team Leader Split:** _____% of Net Commission
- *(Total must equal 100%)*

3. BROKERAGE FEE RESPONSIBILITY The parties acknowledge that Brokerage Fees defined in Schedule A shall be deducted as follows:

- **Brokerage Service Fee:** Deducted "Off the Top" from the Gross Commission Income (GCI) *before* the Team Split is calculated.

4. CERTIFICATION OF INTERNAL AGREEMENT We certify that we have executed a separate "Internal Team Agreement" governing our non-financial duties (lead generation, work schedules, etc.) . We acknowledge that Reapex is not a party to that internal agreement and has no liability regarding its terms.

5. INDEMNIFICATION The Team Leader and Team Member jointly and severally agree to indemnify, defend, and hold harmless Reapex, its owners, officers, and employees from any claims, disputes, or lawsuits arising from our Internal Team Agreement or the allocation of commissions defined above.

6. DIRECT DISBURSEMENT ACKNOWLEDGEMENT We acknowledge that the Brokerage will disburse funds directly to each licensee via separate payments. The Team Leader shall not receive the Team Member's portion of the commission for redistribution.

By signing below, we affirm that we have read, understood, and agree to the terms of this Certification.

Team Leader: Signature: _____ Date: _____

Team Member: Signature: _____ Date: _____

Brokerage: Signature _____ Date: _____

NEW JERSEY REALTORS®
ADDENDUM REGARDING TEAMS

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This Addendum is attached to and made a part of the New Jersey REALTORS® Independent Contractor Agreement, Form 134. If this Addendum conflicts with the Independent Contractor Agreement, then this Addendum shall control.

TEAMS. If Salesperson is a member of a Team, Salesperson shall provide to Broker a list of all members of the Team, including whether or not each member is licensed or unlicensed. Each Team member who is licensed, including Salesperson, may designate in writing to Broker that a commission or part thereof that is due to the Team member, including Salesperson, may be paid to one of the other Team members who is licensed as a Salesperson and affiliated with Broker pursuant to an Independent Contractor Agreement. Under no circumstances will any commission due to any Team member, including Salesperson, be paid to any unlicensed entity or person.

If the Team is an entity, such as a Limited Liability Corporation, S Corporation or Partnership, Salesperson will provide to Broker all filings that are made with any governmental body for the Team, including but not limited to the Certificate of Formation, annual corporate filings and tax returns, as well as any written operating or other agreement regarding the rights and responsibilities of the Team members.

The undersigned acknowledges receipt of the attached Bulletin No. 22-07 issued by the New Jersey Real Estate Commission ("REC") on July 12, 2022 and agrees to conduct business in accordance with the existing REC statutes and regulations.

IN WITNESS WHEREOF, the undersigned have set their hands and seals, or if a corporation, has caused this Addendum to be signed and sealed by its duly authorized corporate officer.

WITNESS:

_____ _____ _____

BROKER Date

WITNESS:

_____ _____ _____

SALESPERSON Date

Phone: **(201)233-1373** Fax:
Ramzi Jaloudi Produced with Lone Wolf Transactions (zipForm Edition) 717 N Harwood St, Suite 2200, Dallas, TX 75201 www.lwolf.com

State of New Jersey

DEPARTMENT OF BANKING AND INSURANCE

PHIL MURPHY
Governor

SHEILA OLIVER
Lt. Governor

PO BOX 325
TRENTON, NJ 08625-0325

TEL (609) 292-7272

MARLENE CARIDE
Commissioner

BULLETIN NO. 22-07

TO: REAL ESTATE LICENSEES AND OTHER INTERESTED PARTIES

FROM: MARLENE CARIDE, COMMISSIONER

RE: REAL ESTATE TEAMS

The purpose of this bulletin is to remind real estate licensees, particularly those on "teams," and the brokers of record who are responsible for managing and supervising, to comply with the Real Estate Broker and Salesperson Act, N.J.S.A. 45:15-1 to -42 ("Act") and regulations, N.J.A.C. 11:5-1.1 to -12.18 ("regulations").

Real estate "teams" are a growing trend in the real estate industry. Real estate teams operate within a brokerage and are generally comprised of two or more real estate salespersons, or broker-salespersons, who cooperate on transactions and pool resources on marketing and administrative staff, and may share commissions and recognition ("team"). Teams are typically led by a salesperson or broker-salesperson as a team leader.

In some cases, a team can appear to operate independent of the brokerage firm through which they are licensed, which may confuse the public. In order to make clear to the public that the team is not a separate brokerage, teams, their team leaders, team members, and their supervising brokers must comply with the Act and regulations.

Licensees are reminded that the employing broker of record is responsible for the supervision of all licensees, regardless of whether a team leader acts as the leader of a team.

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N.J.A.C. 11:5-4.2, N.J.A.C. 11:5-4.4. Licensees can only accept compensation, including commissions, from their employing broker, and not a member of their team or their team leader. N.J.S.A. 45:15-16, N.J.S.A. 45:15-17(m).

Further, teams may not operate out of a separate, satellite office, unless such location is properly licensed with the New Jersey Real Estate Commission ("Commission"), and maintained and supervised in accordance with the Act and regulations. Specifically, all office locations must be licensed with the Commission, be properly supervised by a broker of record or a broker-salesperson, maintain normal business hours, and comply with the Act and regulations. N.J.A.C. 11:5-4.4, N.J.A.C. 11:5-4.5, and N.J.S.A. 45:15-12.

In addition, all advertising including all publications, radio or television broadcasts, all electronic media, business stationery, business cards, business and legal forms and documents, and signs and billboards must comply with N.J.A.C. 11:5-6.1. All advertising shall include the name of the individual, partnership, firm or corporation that is on record with the Commission as doing business as a real estate broker. In all advertisements which contain the name of a salesperson or a broker-salesperson, the regular business name of the individual, partnership, firm or corporate broker through whom that person is licensed shall appear in larger print or be displayed in a more prominent manner than the name of the salesperson or broker-salesperson. N.J.A.C. 11:5-6.1

The Commission rules do not prohibit the establishment of webpages by teams. The webpage, however, must comply with the Act and regulations. For example, if the team's webpage is not linked electronically to the webpage of the broker through whom team members are licensed, the webpage shall display the telephone number and may display the street address of the licensed brokerage office from which the individual or team members operate as real estate licensees. That

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information shall appear in wording as large as the predominant size wording on the webpage. N.J.A.C. 11:5-6.1.

Finally, licensees are reminded that if a team does not comply with the Act and regulations, the team members may be subject to fines and potential license suspension or revocation. Further, brokers may be subject to fines and license suspension or revocation for failing to appropriately supervise their licensees, including those individuals that are a member of a team.

7/12/2022
Date

Marlene Caride
Commissioner

jd RE teams bulletin/Bulletins

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Form **W-9**
(Rev. March 2024)
Department of the Treasury
Internal Revenue Service

Request for Taxpayer Identification Number and Certification

Go to *www.irs.gov/FormW9* for instructions and the latest information.

Give form to the requester. Do not send to the IRS.

Before you begin. For guidance related to the purpose of Form W-9, see *Purpose of Form*, below.

Print or type. See ***Specific Instructions*** on page 3.

1 Name of entity/individual. An entry is required. (For a sole proprietor or disregarded entity, enter the owner's name on line 1, and enter the business/disregarded entity's name on line 2.)

2 Business name/disregarded entity name, if different from above.

3a Check the appropriate box for federal tax classification of the entity/individual whose name is entered on line 1. Check only **one** of the following seven boxes.

☐ Individual/sole proprietor ☐ C corporation ☐ S corporation ☐ Partnership ☐ Trust/estate

☐ LLC. Enter the tax classification (C = C corporation, S = S corporation, P = Partnership) . . . . _____

Note: Check the "LLC" box above and, in the entry space, enter the appropriate code (C, S, or P) for the tax classification of the LLC, unless it is a disregarded entity. A disregarded entity should instead check the appropriate box for the tax classification of its owner.

☐ Other (see instructions) _____

3b If on line 3a you checked "Partnership" or "Trust/estate," or checked "LLC" and entered "P" as its tax classification, and you are providing this form to a partnership, trust, or estate in which you have an ownership interest, check this box if you have any foreign partners, owners, or beneficiaries. See instructions . . . . . ☐

4 Exemptions (codes apply only to certain entities, not individuals; see instructions on page 3):

Exempt payee code (if any) _____

Exemption from Foreign Account Tax Compliance Act (FATCA) reporting code (if any) _____

(Applies to accounts maintained outside the United States.)

5 Address (number, street, and apt. or suite no.). See instructions.

Requester's name and address (optional)

6 City, state, and ZIP code

7 List account number(s) here (optional)

Part I Taxpayer Identification Number (TIN)

Enter your TIN in the appropriate box. The TIN provided must match the name given on line 1 to avoid backup withholding. For individuals, this is generally your social security number (SSN). However, for a resident alien, sole proprietor, or disregarded entity, see the instructions for Part I, later. For other entities, it is your employer identification number (EIN). If you do not have a number, see *How to get a TIN*, later.

Note: If the account is in more than one name, see the instructions for line 1. See also *What Name and Number To Give the Requester* for guidelines on whose number to enter.

Social security number

☐☐☐ – ☐☐ – ☐☐☐☐

or

Employer identification number

☐☐ – ☐☐☐☐☐☐☐

Part II Certification

Under penalties of perjury, I certify that:

1. The number shown on this form is my correct taxpayer identification number (or I am waiting for a number to be issued to me); and
2. I am not subject to backup withholding because (a) I am exempt from backup withholding, or (b) I have not been notified by the Internal Revenue Service (IRS) that I am subject to backup withholding as a result of a failure to report all interest or dividends, or (c) the IRS has notified me that I am no longer subject to backup withholding; and
3. I am a U.S. citizen or other U.S. person (defined below); and
4. The FATCA code(s) entered on this form (if any) indicating that I am exempt from FATCA reporting is correct.

Certification instructions. You must cross out item 2 above if you have been notified by the IRS that you are currently subject to backup withholding because you have failed to report all interest and dividends on your tax return. For real estate transactions, item 2 does not apply. For mortgage interest paid, acquisition or abandonment of secured property, cancellation of debt, contributions to an individual retirement arrangement (IRA), and, generally, payments other than interest and dividends, you are not required to sign the certification, but you must provide your correct TIN. See the instructions for Part II, later.

Sign Here **Signature of U.S. person** **Date**

General Instructions

Section references are to the Internal Revenue Code unless otherwise noted.

Future developments. For the latest information about developments related to Form W-9 and its instructions, such as legislation enacted after they were published, go to *www.irs.gov/FormW9*.

What's New

Line 3a has been modified to clarify how a disregarded entity completes this line. An LLC that is a disregarded entity should check the appropriate box for the tax classification of its owner. Otherwise, it should check the "LLC" box and enter its appropriate tax classification.

New line 3b has been added to this form. A flow-through entity is required to complete this line to indicate that it has direct or indirect foreign partners, owners, or beneficiaries when it provides the Form W-9 to another flow-through entity in which it has an ownership interest. This change is intended to provide a flow-through entity with information regarding the status of its indirect foreign partners, owners, or beneficiaries, so that it can satisfy any applicable reporting requirements. For example, a partnership that has any indirect foreign partners may be required to complete Schedules K-2 and K-3. See the Partnership Instructions for Schedules K-2 and K-3 (Form 1065).

Purpose of Form

An individual or entity (Form W-9 requester) who is required to file an information return with the IRS is giving you this form because they

must obtain your correct taxpayer identification number (TIN), which may be your social security number (SSN), individual taxpayer identification number (ITIN), adoption taxpayer identification number (ATIN), or employer identification number (EIN), to report on an information return the amount paid to you, or other amount reportable on an information return. Examples of information returns include, but are not limited to, the following.

• Form 1099-INT (interest earned or paid).

• Form 1099-DIV (dividends, including those from stocks or mutual funds).

• Form 1099-MISC (various types of income, prizes, awards, or gross proceeds).

• Form 1099-NEC (nonemployee compensation).

• Form 1099-B (stock or mutual fund sales and certain other transactions by brokers).

• Form 1099-S (proceeds from real estate transactions).

• Form 1099-K (merchant card and third-party network transactions).

• Form 1098 (home mortgage interest), 1098-E (student loan interest), and 1098-T (tuition).

• Form 1099-C (canceled debt).

• Form 1099-A (acquisition or abandonment of secured property).

Use Form W-9 only if you are a U.S. person (including a resident alien), to provide your correct TIN.

Caution: If you don't return Form W-9 to the requester with a TIN, you might be subject to backup withholding. See *What is backup withholding*, later.

By signing the filled-out form, you:

1. Certify that the TIN you are giving is correct (or you are waiting for a number to be issued);

2. Certify that you are not subject to backup withholding; or

3. Claim exemption from backup withholding if you are a U.S. exempt payee; and

4. Certify to your non-foreign status for purposes of withholding under chapter 3 or 4 of the Code (if applicable); and

5. Certify that FATCA code(s) entered on this form (if any) indicating that you are exempt from the FATCA reporting is correct. See *What Is FATCA Reporting*, later, for further information.

Note: If you are a U.S. person and a requester gives you a form other than Form W-9 to request your TIN, you must use the requester's form if it is substantially similar to this Form W-9.

Definition of a U.S. person. For federal tax purposes, you are considered a U.S. person if you are:

• An individual who is a U.S. citizen or U.S. resident alien;

• A partnership, corporation, company, or association created or organized in the United States or under the laws of the United States;

• An estate (other than a foreign estate); or

• A domestic trust (as defined in Regulations section 301.7701-7).

Establishing U.S. status for purposes of chapter 3 and chapter 4 withholding. Payments made to foreign persons, including certain distributions, allocations of income, or transfers of sales proceeds, may be subject to withholding under chapter 3 or chapter 4 of the Code (sections 1441–1474). Under those rules, if a Form W-9 or other certification of non-foreign status has not been received, a withholding agent, transferee, or partnership (payor) generally applies presumption rules that may require the payor to withhold applicable tax from the recipient, owner, transferor, or partner (payee). See Pub. 515, Withholding of Tax on Nonresident Aliens and Foreign Entities.

The following persons must provide Form W-9 to the payor for purposes of establishing its non-foreign status.

• In the case of a disregarded entity with a U.S. owner, the U.S. owner of the disregarded entity and not the disregarded entity.

• In the case of a grantor trust with a U.S. grantor or other U.S. owner, generally, the U.S. grantor or other U.S. owner of the grantor trust and not the grantor trust.

• In the case of a U.S. trust (other than a grantor trust), the U.S. trust and not the beneficiaries of the trust.

See Pub. 515 for more information on providing a Form W-9 or a certification of non-foreign status to avoid withholding.

Foreign person. If you are a foreign person or the U.S. branch of a foreign bank that has elected to be treated as a U.S. person (under Regulations section 1.1441-1(b)(2)(iv) or other applicable section for chapter 3 or 4 purposes), do not use Form W-9. Instead, use the appropriate Form W-8 or Form 8233 (see Pub. 515). If you are a qualified foreign pension fund under Regulations section 1.897(l)-1(d), or a partnership that is wholly owned by qualified foreign pension funds, that is treated as a non-foreign person for purposes of section 1445 withholding, do not use Form W-9. Instead, use Form W-8EXP (or other certification of non-foreign status).

Nonresident alien who becomes a resident alien. Generally, only a nonresident alien individual may use the terms of a tax treaty to reduce or eliminate U.S. tax on certain types of income. However, most tax treaties contain a provision known as a saving clause. Exceptions specified in the saving clause may permit an exemption from tax to continue for certain types of income even after the payee has otherwise become a U.S. resident alien for tax purposes.

If you are a U.S. resident alien who is relying on an exception contained in the saving clause of a tax treaty to claim an exemption from U.S. tax on certain types of income, you must attach a statement to Form W-9 that specifies the following five items.

1. The treaty country. Generally, this must be the same treaty under which you claimed exemption from tax as a nonresident alien.

2. The treaty article addressing the income.

3. The article number (or location) in the tax treaty that contains the saving clause and its exceptions.

4. The type and amount of income that qualifies for the exemption from tax.

5. Sufficient facts to justify the exemption from tax under the terms of the treaty article.

Example. Article 20 of the U.S.-China income tax treaty allows an exemption from tax for scholarship income received by a Chinese student temporarily present in the United States. Under U.S. law, this student will become a resident alien for tax purposes if their stay in the United States exceeds 5 calendar years. However, paragraph 2 of the first Protocol to the U.S.-China treaty (dated April 30, 1984) allows the provisions of Article 20 to continue to apply even after the Chinese student becomes a resident alien of the United States. A Chinese student who qualifies for this exception (under paragraph 2 of the first Protocol) and is relying on this exception to claim an exemption from tax on their scholarship or fellowship income would attach to Form W-9 a statement that includes the information described above to support that exemption.

If you are a nonresident alien or a foreign entity, give the requester the appropriate completed Form W-8 or Form 8233.

Backup Withholding

What is backup withholding? Persons making certain payments to you must under certain conditions withhold and pay to the IRS 24% of such payments. This is called "backup withholding." Payments that may be subject to backup withholding include, but are not limited to, interest, tax-exempt interest, dividends, broker and barter exchange transactions, rents, royalties, nonemployee pay, payments made in settlement of payment card and third-party network transactions, and certain payments from fishing boat operators. Real estate transactions are not subject to backup withholding.

You will not be subject to backup withholding on payments you receive if you give the requester your correct TIN, make the proper certifications, and report all your taxable interest and dividends on your tax return.

Payments you receive will be subject to backup withholding if:

1. You do not furnish your TIN to the requester;

2. You do not certify your TIN when required (see the instructions for Part II for details);

3. The IRS tells the requester that you furnished an incorrect TIN;

4. The IRS tells you that you are subject to backup withholding because you did not report all your interest and dividends on your tax return (for reportable interest and dividends only); or

5. You do not certify to the requester that you are not subject to backup withholding, as described in item 4 under "*By signing the filled-out form*" above (for reportable interest and dividend accounts opened after 1983 only).

Certain payees and payments are exempt from backup withholding. See *Exempt payee code*, later, and the separate Instructions for the Requester of Form W-9 for more information.

See also *Establishing U.S. status for purposes of chapter 3 and chapter 4 withholding*, earlier.

What Is FATCA Reporting?

The Foreign Account Tax Compliance Act (FATCA) requires a participating foreign financial institution to report all U.S. account holders that are specified U.S. persons. Certain payees are exempt from FATCA reporting. See *Exemption from FATCA reporting code*, later, and the Instructions for the Requester of Form W-9 for more information.

Updating Your Information

You must provide updated information to any person to whom you claimed to be an exempt payee if you are no longer an exempt payee and anticipate receiving reportable payments in the future from this person. For example, you may need to provide updated information if you are a C corporation that elects to be an S corporation, or if you are no longer tax exempt. In addition, you must furnish a new Form W-9 if the name or TIN changes for the account, for example, if the grantor of a grantor trust dies.

Penalties

Failure to furnish TIN. If you fail to furnish your correct TIN to a requester, you are subject to a penalty of $50 for each such failure unless your failure is due to reasonable cause and not to willful neglect.

Civil penalty for false information with respect to withholding. If you make a false statement with no reasonable basis that results in no backup withholding, you are subject to a $500 penalty.

Criminal penalty for falsifying information. Willfully falsifying certifications or affirmations may subject you to criminal penalties including fines and/or imprisonment.

Misuse of TINs. If the requester discloses or uses TINs in violation of federal law, the requester may be subject to civil and criminal penalties.

Specific Instructions

Line 1

You must enter one of the following on this line; **do not** leave this line blank. The name should match the name on your tax return.

If this Form W-9 is for a joint account (other than an account maintained by a foreign financial institution (FFI)), list first, and then circle, the name of the person or entity whose number you entered in Part I of Form W-9. If you are providing Form W-9 to an FFI to document a joint account, each holder of the account that is a U.S. person must provide a Form W-9.

• **Individual.** Generally, enter the name shown on your tax return. If you have changed your last name without informing the Social Security Administration (SSA) of the name change, enter your first name, the last name as shown on your social security card, and your new last name.

Note for ITIN applicant: Enter your individual name as it was entered on your Form W-7 application, line 1a. This should also be the same as the name you entered on the Form 1040 you filed with your application.

• **Sole proprietor.** Enter your individual name as shown on your Form 1040 on line 1. Enter your business, trade, or "doing business as" (DBA) name on line 2.

• **Partnership, C corporation, S corporation, or LLC, other than a disregarded entity.** Enter the entity's name as shown on the entity's tax return on line 1 and any business, trade, or DBA name on line 2.

• **Other entities.** Enter your name as shown on required U.S. federal tax documents on line 1. This name should match the name shown on the charter or other legal document creating the entity. Enter any business, trade, or DBA name on line 2.

• **Disregarded entity.** In general, a business entity that has a single owner, including an LLC, and is not a corporation, is disregarded as an entity separate from its owner (a disregarded entity). See Regulations section 301.7701-2(c)(2). A disregarded entity should check the appropriate box for the tax classification of its owner. Enter the owner's name on line 1. The name of the owner entered on line 1 should never be a disregarded entity. The name on line 1 should be the name shown on the income tax return on which the income should be reported. For example, if a foreign LLC that is treated as a disregarded entity for U.S. federal tax purposes has a single owner that is a U.S. person, the U.S. owner's name is required to be provided on line 1. If the direct owner of the entity is also a disregarded entity, enter the first owner that is not disregarded for federal tax purposes. Enter the disregarded entity's name on line 2. If the owner of the disregarded entity is a foreign person, the owner must complete an appropriate Form W-8 instead of a Form W-9. This is the case even if the foreign person has a U.S. TIN.

Line 2

If you have a business name, trade name, DBA name, or disregarded entity name, enter it on line 2.

Line 3a

Check the appropriate box on line 3a for the U.S. federal tax classification of the person whose name is entered on line 1. Check only one box on line 3a.

IF the entity/individual on line 1 is a(n) . . .	THEN check the box for . . .
• Corporation	Corporation.
• Individual or • Sole proprietorship	Individual/sole proprietor.
• LLC classified as a partnership for U.S. federal tax purposes or • LLC that has filed Form 8832 or 2553 electing to be taxed as a corporation	Limited liability company and enter the appropriate tax classification: P = Partnership, C = C corporation, or S = S corporation.
• Partnership	Partnership.
• Trust/estate	Trust/estate.

Line 3b

Check this box if you are a partnership (including an LLC classified as a partnership for U.S. federal tax purposes), trust, or estate that has any foreign partners, owners, or beneficiaries, and you are providing this form to a partnership, trust, or estate, in which you have an ownership interest. You must check the box on line 3b if you receive a Form W-8 (or documentary evidence) from any partner, owner, or beneficiary establishing foreign status or if you receive a Form W-9 from any partner, owner, or beneficiary that has checked the box on line 3b.

Note: A partnership that provides a Form W-9 and checks box 3b may be required to complete Schedules K-2 and K-3 (Form 1065). For more information, see the Partnership Instructions for Schedules K-2 and K-3 (Form 1065).

If you are required to complete line 3b but fail to do so, you may not receive the information necessary to file a correct information return with the IRS or furnish a correct payee statement to your partners or beneficiaries. See, for example, sections 6698, 6722, and 6724 for penalties that may apply.

Line 4 Exemptions

If you are exempt from backup withholding and/or FATCA reporting, enter in the appropriate space on line 4 any code(s) that may apply to you.

Exempt payee code.

• Generally, individuals (including sole proprietors) are not exempt from backup withholding.

• Except as provided below, corporations are exempt from backup withholding for certain payments, including interest and dividends.

• Corporations are not exempt from backup withholding for payments made in settlement of payment card or third-party network transactions.

• Corporations are not exempt from backup withholding with respect to attorneys' fees or gross proceeds paid to attorneys, and corporations that provide medical or health care services are not exempt with respect to payments reportable on Form 1099-MISC.

The following codes identify payees that are exempt from backup withholding. Enter the appropriate code in the space on line 4.

1—An organization exempt from tax under section 501(a), any IRA, or a custodial account under section 403(b)(7) if the account satisfies the requirements of section 401(f)(2).

2—The United States or any of its agencies or instrumentalities.

3—A state, the District of Columbia, a U.S. commonwealth or territory, or any of their political subdivisions or instrumentalities.

4—A foreign government or any of its political subdivisions, agencies, or instrumentalities.

5—A corporation.

6—A dealer in securities or commodities required to register in the United States, the District of Columbia, or a U.S. commonwealth or territory.

7—A futures commission merchant registered with the Commodity Futures Trading Commission.

8—A real estate investment trust.

9—An entity registered at all times during the tax year under the Investment Company Act of 1940.

10—A common trust fund operated by a bank under section 584(a).

11—A financial institution as defined under section 581.

12—A middleman known in the investment community as a nominee or custodian.

13—A trust exempt from tax under section 664 or described in section 4947.

The following chart shows types of payments that may be exempt from backup withholding. The chart applies to the exempt payees listed above, 1 through 13.

IF the payment is for . . .	THEN the payment is exempt for . . .
• Interest and dividend payments	All exempt payees except for 7.
• Broker transactions	Exempt payees 1 through 4 and 6 through 11 and all C corporations. S corporations must not enter an exempt payee code because they are exempt only for sales of noncovered securities acquired prior to 2012.
• Barter exchange transactions and patronage dividends	Exempt payees 1 through 4.
• Payments over $600 required to be reported and direct sales over $5,000[1]	Generally, exempt payees 1 through 5.[2]
• Payments made in settlement of payment card or third-party network transactions	Exempt payees 1 through 4.

[1] See Form 1099-MISC, Miscellaneous Information, and its instructions.

[2] However, the following payments made to a corporation and reportable on Form 1099-MISC are not exempt from backup withholding: medical and health care payments, attorneys' fees, gross proceeds paid to an attorney reportable under section 6045(f), and payments for services paid by a federal executive agency.

Exemption from FATCA reporting code. The following codes identify payees that are exempt from reporting under FATCA. These codes apply to persons submitting this form for accounts maintained outside of the United States by certain foreign financial institutions. Therefore, if you are only submitting this form for an account you hold in the United States, you may leave this field blank. Consult with the person requesting this form if you are uncertain if the financial institution is subject to these requirements. A requester may indicate that a code is not required by providing you with a Form W-9 with "Not Applicable" (or any similar indication) entered on the line for a FATCA exemption code.

A—An organization exempt from tax under section 501(a) or any individual retirement plan as defined in section 7701(a)(37).

B—The United States or any of its agencies or instrumentalities.

C—A state, the District of Columbia, a U.S. commonwealth or territory, or any of their political subdivisions or instrumentalities.

D—A corporation the stock of which is regularly traded on one or more established securities markets, as described in Regulations section 1.1472-1(c)(1)(i).

E—A corporation that is a member of the same expanded affiliated group as a corporation described in Regulations section 1.1472-1(c)(1)(i).

F—A dealer in securities, commodities, or derivative financial instruments (including notional principal contracts, futures, forwards, and options) that is registered as such under the laws of the United States or any state.

G—A real estate investment trust.

H—A regulated investment company as defined in section 851 or an entity registered at all times during the tax year under the Investment Company Act of 1940.

I—A common trust fund as defined in section 584(a).

J—A bank as defined in section 581.

K—A broker.

L—A trust exempt from tax under section 664 or described in section 4947(a)(1).

M—A tax-exempt trust under a section 403(b) plan or section 457(g) plan.

Note: You may wish to consult with the financial institution requesting this form to determine whether the FATCA code and/or exempt payee code should be completed.

Line 5

Enter your address (number, street, and apartment or suite number). This is where the requester of this Form W-9 will mail your information returns. If this address differs from the one the requester already has on file, enter "NEW" at the top. If a new address is provided, there is still a chance the old address will be used until the payor changes your address in their records.

Line 6

Enter your city, state, and ZIP code.

Part I. Taxpayer Identification Number (TIN)

Enter your TIN in the appropriate box. If you are a resident alien and you do not have, and are not eligible to get, an SSN, your TIN is your IRS ITIN. Enter it in the entry space for the Social security number. If you do not have an ITIN, see *How to get a TIN* below.

If you are a sole proprietor and you have an EIN, you may enter either your SSN or EIN.

If you are a single-member LLC that is disregarded as an entity separate from its owner, enter the owner's SSN (or EIN, if the owner has one). If the LLC is classified as a corporation or partnership, enter the entity's EIN.

Note: See *What Name and Number To Give the Requester*, later, for further clarification of name and TIN combinations.

How to get a TIN. If you do not have a TIN, apply for one immediately. To apply for an SSN, get Form SS-5, Application for a Social Security Card, from your local SSA office or get this form online at *www.SSA.gov*. You may also get this form by calling 800-772-1213. Use Form W-7, Application for IRS Individual Taxpayer Identification Number, to apply for an ITIN, or Form SS-4, Application for Employer Identification Number, to apply for an EIN. You can apply for an EIN online by accessing the IRS website at *www.irs.gov/EIN*. Go to *www.irs.gov/Forms* to view, download, or print Form W-7 and/or Form SS-4. Or, you can go to *www.irs.gov/OrderForms* to place an order and have Form W-7 and/or Form SS-4 mailed to you within 15 business days.

If you are asked to complete Form W-9 but do not have a TIN, apply for a TIN and enter "Applied For" in the space for the TIN, sign and date the form, and give it to the requester. For interest and dividend payments, and certain payments made with respect to readily tradable instruments, you will generally have 60 days to get a TIN and give it to the requester before you are subject to backup withholding on payments. The 60-day rule does not apply to other types of payments. You will be subject to backup withholding on all such payments until you provide your TIN to the requester.

Note: Entering "Applied For" means that you have already applied for a TIN or that you intend to apply for one soon. See also *Establishing U.S. status for purposes of chapter 3 and chapter 4 withholding*, earlier, for when you may instead be subject to withholding under chapter 3 or 4 of the Code.

Caution: A disregarded U.S. entity that has a foreign owner must use the appropriate Form W-8.

Part II. Certification

To establish to the withholding agent that you are a U.S. person, or resident alien, sign Form W-9. You may be requested to sign by the withholding agent even if item 1, 4, or 5 below indicates otherwise.

For a joint account, only the person whose TIN is shown in Part I should sign (when required). In the case of a disregarded entity, the person identified on line 1 must sign. Exempt payees, see *Exempt payee code*, earlier.

Signature requirements. Complete the certification as indicated in items 1 through 5 below.

1. Interest, dividend, and barter exchange accounts opened before 1984 and broker accounts considered active during 1983. You must give your correct TIN, but you do not have to sign the certification.

2. Interest, dividend, broker, and barter exchange accounts opened after 1983 and broker accounts considered inactive during 1983. You must sign the certification or backup withholding will apply. If you are subject to backup withholding and you are merely providing your correct TIN to the requester, you must cross out item 2 in the certification before signing the form.

3. Real estate transactions. You must sign the certification. You may cross out item 2 of the certification.

4. Other payments. You must give your correct TIN, but you do not have to sign the certification unless you have been notified that you have previously given an incorrect TIN. "Other payments" include payments made in the course of the requester's trade or business for rents, royalties, goods (other than bills for merchandise), medical and health care services (including payments to corporations), payments to a nonemployee for services, payments made in settlement of payment card and third-party network transactions, payments to certain fishing boat crew members and fishermen, and gross proceeds paid to attorneys (including payments to corporations).

5. Mortgage interest paid by you, acquisition or abandonment of secured property, cancellation of debt, qualified tuition program payments (under section 529), ABLE accounts (under section 529A), IRA, Coverdell ESA, Archer MSA or HSA contributions or distributions, and pension distributions. You must give your correct TIN, but you do not have to sign the certification.

What Name and Number To Give the Requester

For this type of account:	Give name and SSN of:
1. Individual	The individual
2. Two or more individuals (joint account) other than an account maintained by an FFI	The actual owner of the account or, if combined funds, the first individual on the account[1]
3. Two or more U.S. persons (joint account maintained by an FFI)	Each holder of the account
4. Custodial account of a minor (Uniform Gift to Minors Act)	The minor[2]
5. a. The usual revocable savings trust (grantor is also trustee)	The grantor-trustee[1]
b. So-called trust account that is not a legal or valid trust under state law	The actual owner[1]
6. Sole proprietorship or disregarded entity owned by an individual	The owner[3]
7. Grantor trust filing under Optional Filing Method 1 (see Regulations section 1.671-4(b)(2)(i)(A))**	The grantor*
8. Disregarded entity not owned by an individual	The owner
9. A valid trust, estate, or pension trust	Legal entity[4]
10. Corporation or LLC electing corporate status on Form 8832 or Form 2553	The corporation
11. Association, club, religious, charitable, educational, or other tax-exempt organization	The organization
12. Partnership or multi-member LLC	The partnership
13. A broker or registered nominee	The broker or nominee
14. Account with the Department of Agriculture in the name of a public entity (such as a state or local government, school district, or prison) that receives agricultural program payments	The public entity
15. Grantor trust filing Form 1041 or under the Optional Filing Method 2, requiring Form 1099 (see Regulations section 1.671-4(b)(2)(i)(B))**	The trust

[1] List first and circle the name of the person whose number you furnish. If only one person on a joint account has an SSN, that person's number must be furnished.

[2] Circle the minor's name and furnish the minor's SSN.

[3] You must show your individual name on line 1, and enter your business or DBA name, if any, on line 2. You may use either your SSN or EIN (if you have one), but the IRS encourages you to use your SSN.

[4] List first and circle the name of the trust, estate, or pension trust. (Do not furnish the TIN of the personal representative or trustee unless the legal entity itself is not designated in the account title.)

* **Note:** The grantor must also provide a Form W-9 to the trustee of the trust.

** For more information on optional filing methods for grantor trusts, see the Instructions for Form 1041.

Note: If no name is circled when more than one name is listed, the number will be considered to be that of the first name listed.

Secure Your Tax Records From Identity Theft

Identity theft occurs when someone uses your personal information, such as your name, SSN, or other identifying information, without your permission to commit fraud or other crimes. An identity thief may use your SSN to get a job or may file a tax return using your SSN to receive a refund.

To reduce your risk:

- Protect your SSN,
- Ensure your employer is protecting your SSN, and
- Be careful when choosing a tax return preparer.

If your tax records are affected by identity theft and you receive a notice from the IRS, respond right away to the name and phone number printed on the IRS notice or letter.

If your tax records are not currently affected by identity theft but you think you are at risk due to a lost or stolen purse or wallet, questionable credit card activity, or a questionable credit report, contact the IRS Identity Theft Hotline at 800-908-4490 or submit Form 14039.

For more information, see Pub. 5027, Identity Theft Information for Taxpayers.

Victims of identity theft who are experiencing economic harm or a systemic problem, or are seeking help in resolving tax problems that have not been resolved through normal channels, may be eligible for Taxpayer Advocate Service (TAS) assistance. You can reach TAS by calling the TAS toll-free case intake line at 877-777-4778 or TTY/TDD 800-829-4059.

Protect yourself from suspicious emails or phishing schemes. Phishing is the creation and use of email and websites designed to mimic legitimate business emails and websites. The most common act is sending an email to a user falsely claiming to be an established legitimate enterprise in an attempt to scam the user into surrendering private information that will be used for identity theft.

The IRS does not initiate contacts with taxpayers via emails. Also, the IRS does not request personal detailed information through email or ask taxpayers for the PIN numbers, passwords, or similar secret access information for their credit card, bank, or other financial accounts.

If you receive an unsolicited email claiming to be from the IRS, forward this message to *phishing@irs.gov*. You may also report misuse of the IRS name, logo, or other IRS property to the Treasury Inspector General for Tax Administration (TIGTA) at 800-366-4484. You can forward suspicious emails to the Federal Trade Commission at *spam@uce.gov* or report them at *www.ftc.gov/complaint*. You can contact the FTC at *www.ftc.gov/idtheft* or 877-IDTHEFT (877-438-4338). If you have been the victim of identity theft, see *www.IdentityTheft.gov* and Pub. 5027.

Go to *www.irs.gov/IdentityTheft* to learn more about identity theft and how to reduce your risk.

Privacy Act Notice

Section 6109 of the Internal Revenue Code requires you to provide your correct TIN to persons (including federal agencies) who are required to file information returns with the IRS to report interest, dividends, or certain other income paid to you; mortgage interest you paid; the acquisition or abandonment of secured property; the cancellation of debt; or contributions you made to an IRA, Archer MSA, or HSA. The person collecting this form uses the information on the form to file information returns with the IRS, reporting the above information. Routine uses of this information include giving it to the Department of Justice for civil and criminal litigation and to cities, states, the District of Columbia, and U.S. commonwealths and territories for use in administering their laws. The information may also be disclosed to other countries under a treaty, to federal and state agencies to enforce civil and criminal laws, or to federal law enforcement and intelligence agencies to combat terrorism. You must provide your TIN whether or not you are required to file a tax return. Under section 3406, payors must generally withhold a percentage of taxable interest, dividends, and certain other payments to a payee who does not give a TIN to the payor. Certain penalties may also apply for providing false or fraudulent information.